

STATE OF NEW YORK

1278--A

2025-2026 Regular Sessions

IN ASSEMBLY

January 9, 2025

Introduced by M. of A. PEOPLES-STOKES -- read once and referred to the Committee on Ways and Means -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the tax law, in relation to authorizing the city of Buffalo to impose a hotel and motel tax; and providing for the repeal of such provisions upon the expiration thereof

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The tax law is amended by adding a new section 1202-kk to
2 read as follows:

3 § 1202-kk. Hotel or motel taxes in the city of Buffalo. (1) Notwith-
4 standing any other provisions of law to the contrary, the city of
5 Buffalo, in the county of Erie, is hereby authorized and empowered to
6 adopt and amend local laws imposing in such city a tax, in addition to
7 any other tax authorized and imposed pursuant to this article such as
8 the legislature has or would have the power and authority to impose upon
9 persons occupying hotel or motel rooms in such city. For the purposes of
10 this section, the term "hotel" or "motel" shall mean and include any
11 facility consisting of rentable units and providing lodging on an over-
12 night basis and shall include those facilities designated and commonly
13 known as "bed and breakfast" and "tourist" facilities. The rates of such
14 tax shall not exceed three percent of the per diem rental rate for each
15 room, provided however, that such tax shall not be applicable to a
16 permanent resident of a hotel or motel. For the purposes of this section
17 the term "permanent resident" shall mean a person occupying any room or
18 rooms in a hotel or motel for at least ninety consecutive days.

19 (2) Such tax may be collected and administered by the commissioner of
20 administration, finance, policy and urban affairs of the city of Buffalo
21 by such means and in such manner as other taxes which are now collected
22 and administered by such officer or as otherwise may be provided by such
23 local law.

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

LBD03039-02-5

1 (3) Such local laws may provide that any tax imposed shall be paid by
2 the person liable therefor to the owner of the hotel or motel room occu-
3 pied or to the person entitled to be paid the rent or charge for the
4 hotel or motel room occupied for and on account of the city of Buffalo
5 imposing the tax and that such owner or person entitled to be paid the
6 rent or charge shall be liable for the collection and payment of the
7 tax; and that such owner or person entitled to be paid the rent or
8 charge shall have the same right in respect to collecting the tax from
9 the person occupying the hotel or motel room, or in respect to nonpay-
10 ment of the tax by the person occupying the hotel or motel room, as if
11 the tax were a part of the rent or charge and payable at the same time
12 as the rent or charge; provided, however, that the commissioner of
13 administration, finance, policy and urban affairs of the city, specified
14 in such local law, shall be joined as a party in any action or proceed-
15 ing brought to collect the tax by the owner or by the person entitled to
16 be paid the rent or charge.

17 (4) Such local laws may provide for the filing of returns and the
18 payment of the tax on a monthly basis or on the basis of any longer or
19 shorter period of time.

20 (5) This section shall not authorize the imposition of such tax upon
21 any transaction, by or with any of the following in accordance with
22 section twelve hundred thirty of this article:

23 a. The state of New York, or any public corporation (including a
24 public corporation created pursuant to agreement or compact with another
25 state or the Dominion of Canada), improvement district or other poli-
26 tical subdivision of the state;

27 b. The United States of America, insofar as it is immune from taxa-
28 tion;

29 c. Any corporation or association, or trust, or community chest, fund
30 or foundation organized and operated exclusively for religious, charita-
31 ble or educational purposes, or for the prevention of cruelty to chil-
32 dren or animals, and no part of the net earnings of which inures to the
33 benefit of any private shareholder or individual and no substantial part
34 of the activities of which is carrying on propaganda, or otherwise
35 attempting to influence legislation; provided, however, that nothing in
36 this paragraph shall include an organization operated for the primary
37 purpose of carrying on a trade or business for profit, whether or not
38 all of its profits are payable to one or more organizations described in
39 this paragraph.

40 (6) Any final determination of the amount of any tax payable hereunder
41 shall be reviewable for error, illegality or unconstitutionality or any
42 other reason whatsoever by a proceeding under article seventy-eight of
43 the civil practice law and rules if application therefor is made to the
44 supreme court within thirty days after the giving of the notice of such
45 final determination, provided, however, that any such proceeding under
46 article seventy-eight of the civil practice law and rules shall not be
47 instituted unless:

48 a. The amount of any tax sought to be reviewed, with such interest and
49 penalties thereon as may be provided for by local law shall be first
50 deposited and there is filed an undertaking, issued by a surety company
51 authorized to transact business in this state and approved by the super-
52 intendent of financial services of this state as to solvency and respon-
53 sibility, in such amount as a justice of the supreme court shall approve
54 to the effect that if such proceeding be dismissed or the tax confirmed
55 the petitioner will pay all costs and charges which may accrue in the
56 prosecution of such proceeding; or

1 b. At the option of the petitioner such undertaking may be in a sum
2 sufficient to cover the taxes, interests and penalties stated in such
3 determination plus the costs and charges which may accrue against it in
4 the prosecution of the proceeding, in which event the petitioner shall
5 not be required to pay such taxes, interest or penalties as a condition
6 precedent to the application.

7 (7) Where any tax imposed hereunder shall have been erroneously, ille-
8 gally or unconstitutionally collected and application for the refund
9 thereof duly made to the proper fiscal officer or officers, and such
10 officer or officers shall have made a determination denying such refund,
11 such determination shall be reviewable by a proceeding under article
12 seventy-eight of the civil practice law and rules, provided, however,
13 that such proceeding is instituted within thirty days after the giving
14 of the notice of such denial, that a final determination of tax due was
15 not previously made, and that an undertaking is filed with the proper
16 fiscal officer or officers in such amount and with such sureties as a
17 justice of the supreme court shall approve to the effect that if such
18 proceeding be dismissed or the tax confirmed, the petitioner will pay
19 all costs and charges which may accrue in the prosecution of such
20 proceeding.

21 (8) Except in the case of a willfully false or fraudulent return with
22 intent to evade the tax, no assessment of additional tax shall be made
23 after the expiration of more than three years from the date of the
24 filing of a return, provided, however, that where no return has been
25 filed as provided by law the tax may be assessed at any time.

26 (9) All revenues resulting from the imposition of the tax under the
27 local laws shall be paid into the treasury of the city of Buffalo and
28 shall be credited to and deposited in the general fund of the city. Such
29 revenues shall be used as follows: twenty-five percent of such revenue
30 from this tax shall be allocated to support organizations dedicated to
31 maintenance of the city-owned public realm and city-owned parking facil-
32 ities in downtown as well as public safety initiatives undertaken by the
33 Buffalo police department and other organizations in downtown, and
34 seventy-five percent shall be allocated for capital improvements to
35 city-owned cultural facilities citywide, the city-owned public realm in
36 downtown, and city-owned professional sporting venues.

37 (10) If any provision of this section or the application thereof to
38 any person or circumstance shall be held invalid, the remainder of this
39 section and the application of such provision to other persons or
40 circumstances shall not be affected thereby.

41 § 2. This act shall take effect immediately and shall expire and be
42 deemed repealed December 31, 2028.